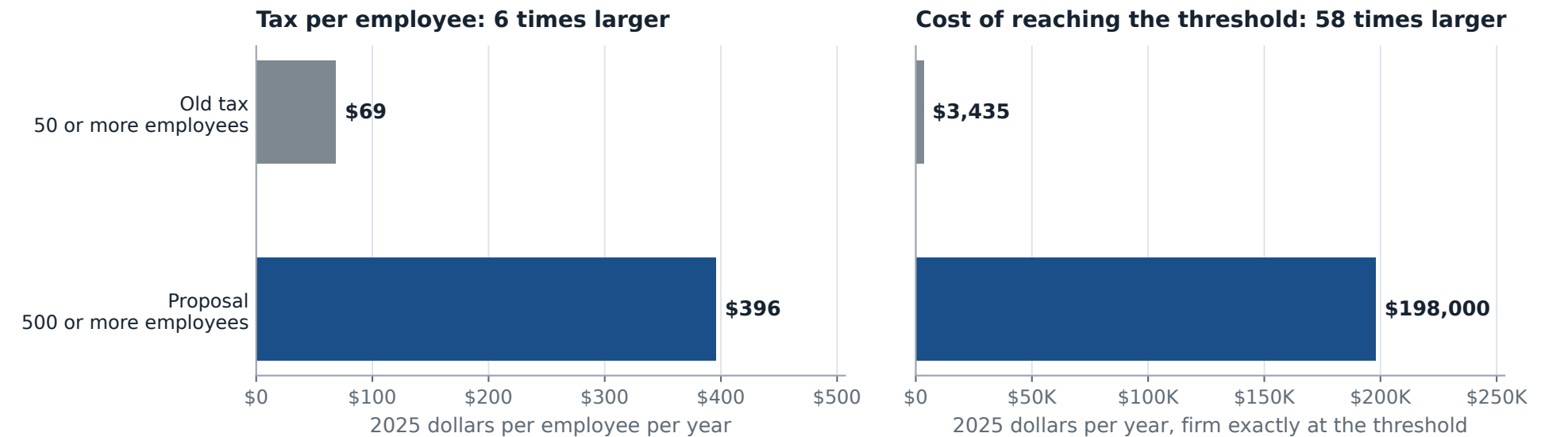


The proposal is a different tax from the one Chicago repealed

A higher rate on a threshold ten times as high: the extra tax a firm owes for reaching the threshold rises from about \$3,400 to \$198,000 a year



Both taxes are notches: a firm at the threshold pays on every employee, so the cost of crossing it is the annual rate times the threshold. Old tax: \$4 per employee per month at 50 or more employees, the full rate until 2011 (\$48 per employee and \$2,400 at the threshold in nominal terms; halved in 2012, repealed at the end of 2013). Proposal: \$33 per employee per month at 500 or more. In nominal terms the cliff is 82.5 times larger.

Old-tax figures are inflated from 2011 to 2025 with the CPI-U annual average (factor 1.431). Rates and thresholds only; neither figure depends on the business data.

Sources: Employer's Expense Tax Ruling #2 (2005), quoting Municipal Code 3-20-030(A); WBEZ, 12 December 2025; Bureau of Labor Statistics CPI-U.